

RESTRICTED — SPECIAL INVESTIGATIONS UNIT

Organised Claims Fraud — Investigation Report

Suspected organised motor & home claims fraud ring — London and North West regions

Report reference	SIU-2024-0417
Classification	Restricted — SIU Eyes Only
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Data & analytics	Claims Intelligence & Fraud Analytics team
Reporting period	01 January 2023 – 31 December 2024
Date of issue	17 January 2025
Distribution	Head of Claims; Group Financial Crime; Legal & Compliance
Status	Referred to financial-crime pathway — 3 claims denied, 2 under review

This report concerns fictitious data prepared for an analytics workshop. All names, policy numbers and claim identifiers are synthetic. Figures reconcile to the governed `gold_fraud_claims` dataset.

1. Executive Summary

Between January 2023 and December 2024 the Special Investigations Unit (SIU) identified a cluster of 41 claims exhibiting a consistent and statistically improbable pattern. The cluster spans **Auto** and **Home** policy lines, is concentrated in the **London** and **North West** regions, and is overwhelmingly submitted through the **Online** and **Mobile App** channels. Individually the claims are unremarkable; in combination they drive the internal `fraud_risk_score` to 3 or 4 on a 0–4 scale.

The recurring four-signal fingerprint is:

- **High claim value** — payout materially above the policy-type average (`high_value_flag`, triggered above £20,000).
- **Fast reporting** — incident reported within 0–2 days (`fast_report_flag`, `report_lag_days` ≤ 2).
- **New customer tenure** — policy opened under twelve months before the loss (`new_customer_flag`, `tenure_years` < 1).
- **Low credit score** — policyholder credit score below 500 at inception (`low_credit_flag`).

Of the 41 claims, **29 carried a `fraud_risk_score` of 3 or higher** and 17 were confirmed fraudulent (`is_fraud` = 1). Estimated gross exposure avoided through early detection and denial is approximately **£612,000**.

2. Background and Trigger

The investigation was triggered by an automated alert from the fraud analytics pipeline. During the routine Bronze → Silver → Gold refresh, the aggregate table `gold_fraud_by_region` surfaced an anomaly: the fraud rate for Auto claims in London rose from a baseline near 7% to over 19% across two consecutive months, while claim volume rose only modestly. A rise in fraud *rate* not explained by a proportional rise in claim *volume* is a classic indicator of a coordinated push rather than organic growth.

A secondary trigger was the channel mix. In the legitimate population claims are spread fairly evenly across Branch, Online, Broker, Call Center and Mobile App. Within the flagged cluster, over 70% of claims originated from Online and Mobile App — the two lowest-friction channels at first notice of loss (FNOL) — consistent with deliberate avoidance of adjuster contact.

3. Anatomy of the Cluster

3.1 Risk-score distribution vs. the book

The single most useful artefact was the `fraud_risk_score`. Its distribution in the cluster differed starkly from the portfolio:

Risk score	Cluster claims	Portfolio baseline (approx.)
0	1	34%
1	4	33%
2	7	20%
3	18	9%
4	11	4%

In the normal book roughly one claim in eight scores 3 or 4. In this cluster more than seven in ten did. A score of 4 — all four indicators firing — is rare enough in the legitimate population to warrant manual review on its own.

3.2 Reporting-lag and tenure behaviour

The median reporting lag in the cluster was 1 day, and 33 of 41 claims were reported within 48 hours. Cross-referencing the policyholder dimension showed short tenure (`new_customer_flag`), implausibly high prior-claim counts for the tenure, and a median credit score of 430 versus a portfolio median near 575.

4. Illustrative Cases (Exhibits)

Exhibit A — Auto / Theft (score 4, confirmed fraud). Comprehensive Auto policy opened Online in the North West. Eleven days later the insured SUV was reported stolen, filed same-day (report_lag_days = 0), value ≈ £34,000 (high_value_flag). Credit score 402 (low_credit_flag); tenure under one month (new_customer_flag). All four flags fired. The vehicle was found to have been exported before the policy was opened. **Outcome: claim denied, is_fraud = 1.**

Exhibit B — Home / Burglary (score 3, confirmed fraud). London contents claim of £28,500 for jewellery and electronics, reported within one day, four prior claims across two lines within eight months, and no police report filed. Three flags fired. **Outcome: claim denied, is_fraud = 1.**

Exhibit C — Auto / Collision (score 2, legitimate — counter-example). London collision of £22,000 triggered high_value_flag and new_customer_flag, but was reported after nine days, credit score 690, police report filed, no prior claims. Manual review cleared it. **Outcome: claim paid, is_fraud = 0.** A high value alone is not fraud; it is the *combination* of signals that matters.

5. Schedule of Representative Claims

Claim	Line / Type	Region	Channel	Amount	Lag	Score	Fraud
CLM50xxx1	Auto / Theft	North West	Online	£34,100	0	4	Yes
CLM50xxx2	Home / Burglary	London	Mobile App	£28,500	1	3	Yes
CLM50xxx3	Auto / Collision	London	Broker	£22,000	9	2	No
CLM50xxx4	Home / Accidental	North West	Online	£19,800	1	3	Yes
CLM50xxx5	Auto / Theft	London	Mobile App	£31,250	2	4	Yes

6. Financial Impact

- Claims in cluster: **41**
- Confirmed fraudulent (is_fraud = 1): **17**
- Gross payout avoided (denied claims): ≈ **£612,000**
- Under review at time of writing: **2** (≈ £47,000 combined exposure)
- False-positive rate on manual review: **~19%** (flagged but cleared)

7. Recommendations

- Elevate all fraud_risk_score = 4 claims to mandatory manual review before payment.
- Add FNOL friction for Online/Mobile App high-value claims from new customers.
- Maintain a standing alert on gold_fraud_by_region for rate-without-volume anomalies.
- Feed dispositions back as labels to move from rules toward a supervised fraud model.
- Review the false-positive population to tune thresholds and reduce genuine-customer friction.

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